

WHY DO WE USE MOVING AVERAGES?

Moving averages smoothen the volatility of the asset prices and give us a stable line to deal with. Moving average trails any fast-moving trend on either side. As a result, moving averages always try to catch the latest closing price, and based on the period of the moving average, the speed of catching up varies. It shows us the trend in the asset price.

Without moving averages, we will have to deal with very volatile closing prices of assets. Short term moving averages are at times used as an alternate for the actual closing price as they move in line with the closing price. We make use of long-term moving averages to understand how significantly has the asset price moved in the time period. For instance, the distance between the actual closing price and a 200-day moving average (DMA, henceforth) denotes the movement of the asset price in the last 200 sessions i.e. approximately a year. So, we can say that moving averages are used to smoothen the closing price and understand the trend of the asset price in longer terms.

